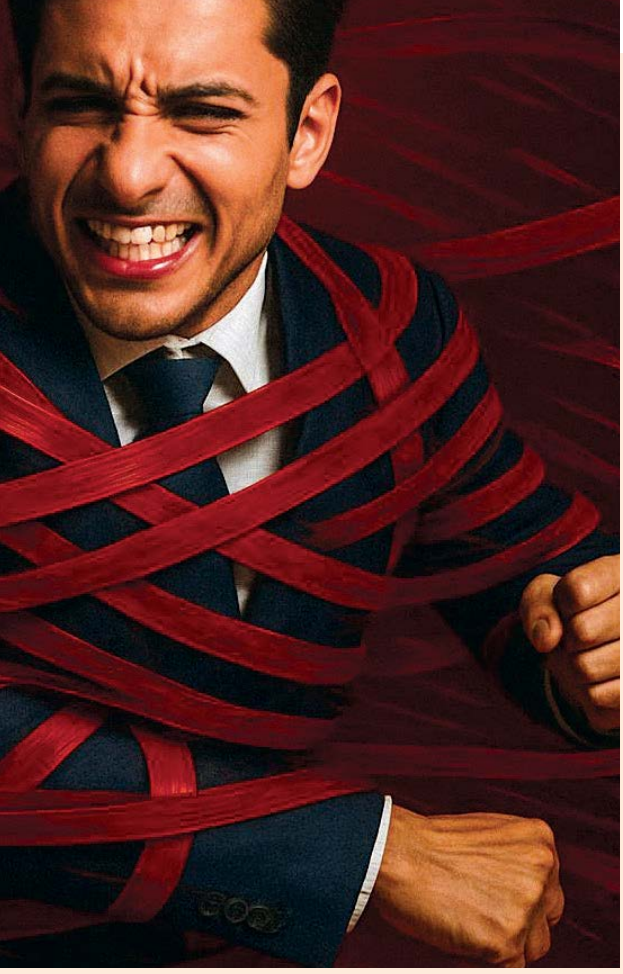


Illustration by **NILANJAN DAS / AI**

COMPLIANCES

Bottlenecks: State PCBs drag on pollution approvals; low-risk units faced same hurdles

↘ Compliance issues impede tiny businesses

↘ Minor lapses attracted criminal penalties

↘ Frequent inspections, navigating multiple departments/ portals for approvals consumed business time

Reforms: Third-party certification for CTE/ CTO*. Non-polluters in 'White Category' under Air and Water Acts

↘ Shops & Establishments Act threshold raised to 20 workers, exempted from full registration

↘ State-level acts similar to Jan Vishwas to decriminalise minor offences

↘ Third-party inspections for low/medium-risk businesses; single state window for services, linked to National Single Window System (NSWS)

**CTE and CTO: Consent to Establish and Consent to Operate*

84% 11% 5%

LABOUR RIGHTS

Bottlenecks: Rigid factory-hour rules reduced productivity

↘ Restricting operating hour rules hurt service sector growth

↘ Firms avoided scaling down as larger workforce size triggered additional approvals, compliances

Reforms: Revised working-hour rules for factories and working-hour limits for commercial firms

↘ Increasing worker threshold for factory closure, retrenchment & layoffs

56% 2% 42%

WOMEN WORKERS

Bottlenecks: Blanket bans shut out women from 'hazardous' workplace

↘ Night-shift bans shut women out of manufacturing jobs

↘ Lesser number of jobs for women in IT sector, retail and hospitality due to night work restrictions

Reforms: Greater safeguards enabled the employment of women in 'hazardous' workplaces

↘ Again, better safeguards to enable night shift work for women

↘ Allowing night-time employment for women, after checking for workplace safety

64% 3% 33%

Source: Economic Survey 2024-25, 2025-26

trade facilitation, manufacturing, MSMEs, taxation, certification bodies and dispute resolution. Unlike previous reform committees, this one was consultative, heeding industry bodies such as CII, FICCI, ASSOCHAM, as well as management consultants before drafting a single recommendation. As Gauba said at a recent CII event, "What is needed now is nuts-and-bolts reforms, unglamorous, granular, but vital for businesses to open, operate and shut down if necessary. The next generation of reforms must make a clean and decisive break from the colonial mindset of distrust of citizens and punishment for violation, to trust-based governance. It is heralding a change not just in laws and rules, but in the grammar of governance itself. We should now benchmark our rules against the global best practices."

Jan Vishwas thus became the third prong of Modi's Mission Deregulation and has so far been the most visible form of his 'reform, perform and transform' philosophy. In his 2025 Independence Day address, the PM had said, "There are laws in our country, astonishing as it may sound, that provide for imprisonment over trivial matters, and no one has so far paid attention to them. I have taken it upon myself to ensure that such unnecessary laws, which place Indian citizens behind bars, are abolished." The prime minister's observation was spot-on. For decades, India's regulatory system treated procedural violations as criminal offences. In many cases, the law permitted imprisonment for these infractions even where no fraud had occurred, or any harm caused. The process of decriminalisation began in 2023 with